

individual bonds for Treasuries is more practical and beneficial than for corporate or municipal bonds.

This approach presents one major difficulty: determining the duration of the retirement liability. With each passing year, remaining life expectancy decreases, but not on a one-to-one basis. In practice, duration matching for a retired household will be highly complex and not necessarily practical, making immunization from interest rate risk an insurmountable obstacle for a household to accomplish on their own through the use of bond funds instead of holding individual bonds. It requires constant monitoring and rebalancing of the bonds to match the desired duration as interest rates change and bonds mature. As it is, these concepts have not fully penetrated the wealth management world, and decisions about holding bond funds are still typically made on an assets-only basis.

That being said, at least two companies have created mutual funds to provide duration matching with bonds. First, Dimensional Fund Advisor's Target-Date Retirement Income Funds define the retirement liability specifically as a goal to support inflation-adjusted spending for twenty-five years after the target date. Using TIPS to support the inflation-adjustment goal, they can create a portfolio with a duration that matches their defined liability from a given target date and hedges inflation and interest rate risk.

The other company is BlackRock, whose CoRI Retirement Indices are based on a bond portfolio that hedges the price of a lifetime income annuity with a 2.5 percent cost-of-living adjustment, locking in the potential amount of income available from annuitizing a portion of your portfolio without actually purchasing an annuity. Income goals are survival-weighted rather than fixed at twenty-five years, and they grow with a 2.5 percent COLA rather than the CPI. But the underlying concept of hedging interest rate risk by defining a retirement liability and then matching its duration to that of the supporting assets is the same.